

Notes: Brown & Huang (JFE, 2020)
All the President's Friends: Political Access and Firm Value

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1 Big picture

- **Question.** What is the value to firms of direct political access to top government officials, and through what channels does that value arise?
- **Setting.** Corporate executives' visits to the Obama White House from 2009 to 2015.
- **Main results.** Access predicts positive abnormal returns around visits and log releases, lower returns after the 2016 political transition, and increases in procurement contracts and favorable regulatory news.
- **Economic takeaway.** Political access is a valuable but politically contingent corporate asset.

2 Incremental contribution

- Directly measures political access using White House visitor logs rather than indirect proxies such as lobbying or donations.
- Turns access into an event-study object by examining visits and public log releases.
- Distinguishes access from political spending by controlling for campaign contributions, PAC contributions, lobbying, procurement, and firm characteristics.
- Uses the 2016 presidential election as a political-contingency shock to the value of Obama-era access.
- Links financial-market reactions to real outcomes: procurement contracts and regulatory news.

3 Data and measurement

3.1 White House visitor logs

Political access equals one if executives of the firm visit the White House at least once in a firm-year. The number of visits measures access intensity.

Detailed interpretation. The data identify actual access to top policymakers rather than inferred political connectedness.

3.2 Political and firm variables

The paper measures campaign contributions, PAC contributions, lobbying expenses, procurement contracts, sin-stock status, firm size, market-to-book, past returns, tangibility, ROA, book leverage, employment, market share, and industry concentration.

Detailed interpretation. These variables separate demand for access from the incremental value of realized access.

4 Models and empirical specifications

4.1 Determinants of political access

$$Access_{it} = \alpha + \beta PoliticalSpending_{i,t-1} + \gamma FirmControls_{i,t-1} + IndustryFE + YearFE + \varepsilon_{it}.$$

Detailed interpretation. This regression asks which firms obtain access and whether access is related to partisan contributions, lobbying, procurement exposure, and firm size.

4.2 Event-study abnormal returns

$$CAR_{i, [\tau_1, \tau_2]} = \sum_{t=\tau_1}^{\tau_2} (R_{it} - R_t^{benchmark}).$$

Detailed interpretation. CARs around visits and log releases measure market expectations about the value of political access.

4.3 Real-outcome difference-in-differences

$$Effect = E[\Delta Outcome | Treatment] - E[\Delta Outcome | Matched Controls].$$

Detailed interpretation. Matched controls help compare firms with similar observables but without White House visits.

5 Identification and empirical design

The identification combines event timing, release-date shocks, news-coverage partitions, robustness to expected meetings, the 2016 election as a political-transition shock, and matched-control tests for procurement and regulatory outcomes. The design cannot fully randomize access, but the different tests point in the same direction.

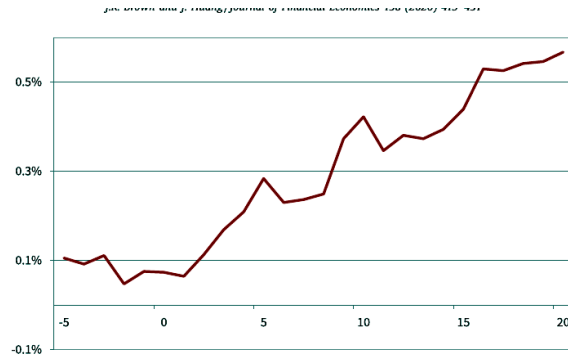
6 Tables and figures

6.1 Figure 1: CAR around visits and Figure 2: CAR by media coverage

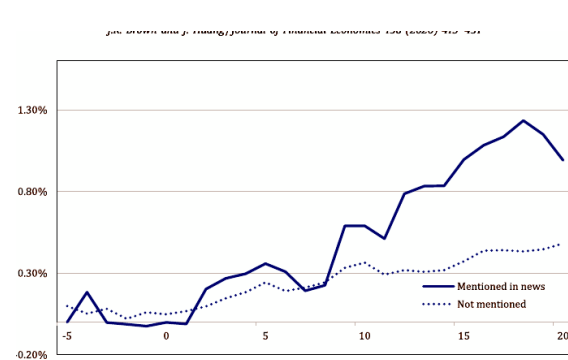
Read: Figure 1 shows positive CARs around White House visits. Figure 2 shows that CARs are larger for meetings mentioned in the news.

Detailed interpretation. The figures show that investors value political access and react more strongly when access is more visible.

Economic message. Political access is capitalized into stock prices.



(a) Figure 1: CAR around visits



(b) Figure 2: CAR by media coverage

6.2 Table 1: Frequent visitors and visitees and Table 2: Summary statistics

Read: Table 1 lists the most frequent corporate visitors and White House officials. Table 2 reports summary statistics and shows that access occurs in about 10.7% of firm-years.

Detailed interpretation. Access is scarce and concentrated among politically relevant large firms.

Economic message. Political access is selective and valuable.

Table 1
Frequent visitors and visitees of the White House
This table lists the names of corporate executives who are frequent White House visitors as well as the names of White House officials who are most frequently visited by corporate executives during the period from January 2009 through December 2015.

Panel A: Corporate executives with more than ten visits to the White House				
Company name	FF48 industry	Executive name	Title	# of visits
Honeywell International Inc.	Auto & trucks	David M. Cote	Chairman and CEO	30
General Electric Co	Consumer goods	Jeffrey R. Immelt	Executive chairman and CEO	21
Xerox Corp.	Consumer goods	Ursula M. Burns	Chairman and CEO	21
EverCore Partners Inc.	Banking	Roger C. Altman	Founder and executive chairman	21
HCA Holdings Inc.	Healthcare	Charles J. Hall	President of National Group	18
JPMorgan Chase & Co	Banking	James Dimon	Chairman and CEO	18
AT&T Inc.	Communication	Randall L. Stephenson	Chairman and CEO	18
BlackRock Inc.	Trading	Laurence D. Fink	Co-founder, chairman, and CEO	16
Chevron Corp.	Oil	John S. Watson	Chairman and CEO	15
Dow Chemical	Chemicals	Andrew N. Liveris	Executive chairman and CEO	15
Motorola Solutions Inc.	Electronics	Gregory Q. Brown	Chairman and CEO	15
Duke Energy Corp.	Utilities	James E. Rogers, Jr.	Executive chairman and CEO	15
Southwestern Energy Co	Oil	Mark K. Boling	Executive VP	15
Exxon Mobil Corp.	Oil	Rex W. Tillerson	Chairman and CEO	14
Goldman Sachs Group Inc.	Trading	Lloyd C. Blankfein	Chairman and CEO	14
Graham Holdings Co	Publishing	Donald E. Graham	Chairman and CEO	13
Dominion Resources Inc.	Utilities	Thomas F. Farrell, II	Executive chairman and CEO	13
Cisco Systems Inc.	Computers	John T. Chambers	Executive chairman	12
Knight Transportation Inc.	Transportation	Kevin P. Knight	Chairman and CEO	12
Aetna Inc.	Insurance	Mark T. Bertolini	Chairman and CEO	12
Unisys Corp.	Computers	Edward C. Davies	President of Federal Systems Business	11
Berkon Corp.	Utilities	Christopher M. Cane	President and CEO	11
NextEra Energy Inc.	Utilities	Lewis Hay, III	Executive chairman	11
American Express Co	Banking	Kenneth I. Chenault	Chairman and CEO	11
Comcast Corp.	Communication	David L. Cohen	Executive VP	11
Alphabet Inc.	Business services	Eric E. Schmidt	Executive chairman	11
Panel B: White House officials most frequently visited by corporate executives				
Visitee name	Position title	# of visits		
Barack Obama	President of the United States	338		
Valerie Jarrett	Senior advisor and assistant to the president for intergovernmental affairs and public engagement	105		
Jeff Zients	Assistant to the president for economic policy and director of the National Economic Council	103		
Heather Zichal	Deputy assistant to the president for energy and climate change	62		
Greg Nelson	Special assistant to the president and senior advisor for the National Economic Council	60		
Gene Sperling	Assistant to the president for economic policy and director of the National Economic Council	53		
William Daley	Assistant to the president and chief of staff	43		
Nancy-Ann DeParle	Assistant to the president and deputy chief of staff for policy	42		
Austan Goolsbee	Chief economist and chairman of the Council of Economic Advisers	39		
Dan Utech	Deputy assistant to the president for energy and climate change	33		
Jason Furman	Assistant to the president and principal deputy director of the National Economic Council	33		
Art Matusiak	Special assistant to the president and director of private sector engagement	30		
Adam Hitchcock	Special assistant	29		
Stephen Molinari	Staff assistant	26		
Lawrence Summers	Assistant to the president for economic policy and director of the National Economic Council	25		
Rahm Emanuel	Assistant to the president and chief of staff	23		
Jack Lew	Assistant to the president and chief of staff	21		
John Podesta	Counselor to the president	21		

(a) Table 1: frequent visitors and visitees

Table 2
Summary statistics.
This table reports the summary statistics for the sample of firms covered by Standard & Poor's ExecuComp database from 2009 through 2015. The sample includes 12,427 firm-year observations. # of White House visits is the number of White House visits by corporate executives in a year. Political access is an indicator that takes the value of one if the executives of the firm visit the White House at least once in a given year and zero otherwise. Contributions to Obama is the firm's total dollar amount of political contributions to Barack Obama's election campaigns. Contributions to opponent is the firm's total dollar amount of political contributions to John McCain's 2008 election campaigns or to Mitt Romney's 2012 campaigns. For firm-years between 2009 and 2012, we use the campaign contributions in the 2007-2008 election cycle. For firm-years between 2013 and 2015, we use the campaign contributions in the 2011-2012 election cycle. PAC contributions to Democrats is the firm's total amount of contributions to Democrat candidates made through its corporate PACs during the most recent election cycle. PAC contributions to GOP is the firm's total amount of contributions to Republican candidates made through its corporate PACs during the most recent election cycle. Lobbying expenses is the total dollar amount of lobbying expenses in a year. Procurement contracts is the total dollar value of government procurement contracts awarded in a year. Sin stocks is the union of the Fama and French (1997) industry groups 4 (alcohol) and 5 (tobacco) along with the North American Industry Classification System (NAICS) group for gaming (following Hong and Kaczer, 2009). Firm size is annual sales. Market-to-book is the book value of common equity divided by the market value of common equity. Prior stock return is the cumulative stock return during the prior 12 months. Tangible is the ratio of property, plant, and equipment to total assets. ROA is income before extraordinary items (Compustat item IB) divided by total assets. Book leverage is the ratio of total debt to the book value of total assets. # of employees is the number of employees (in thousands). Market share is the firm's share in the total sales of its industry. Herfindahl index is the sum of the squares of the percentages of a firm's sales in its industry.

Variable	Mean	Median	S.D.	P25	P75
Political access	0.107	0.000	0.310	0.000	0.000
# of White House visits	0.309	0.000	1.793	0.000	0.000
Contributions to Obama (\$ mil)	0.012	0.000	0.071	0.000	0.004
Contributions to opponent (\$ mil)	0.014	0.000	0.074	0.000	0.005
PAC contributions to Democrats (\$ mil)	0.036	0.000	0.294	0.000	0.000
PAC contributions to GOP (\$ mil)	0.047	0.000	0.248	0.000	0.000
Lobbying expenses (\$ mil)	0.554	0.000	1.975	0.000	0.190
Procurement contracts (\$ mil)	122.495	0.000	1,397.310	0.000	1.065
Sin stocks	0.010	0.000	0.098	0.000	0.000
Firm size (\$ mil)	6,848,820	1,484,780	21,531,340	528,969	4,707,680
Market-to-book	2.896	2.036	8.260	1.285	3.387
Prior stock return	0.195	0.175	0.419	-0.011	0.376
Tangible	0.235	0.149	0.236	0.053	0.345
ROA	0.035	0.041	0.111	0.010	0.080
Book leverage	0.537	0.518	0.262	0.355	0.690
# of employees (thousands)	18,228	4,612	43,894	1,440	14,100
Market share	0.014	0.003	0.036	0.001	0.009
(Market share) ²	0.001	0.000	0.009	0.000	0.000
Herfindahl index	0.062	0.051	0.059	0.030	0.071

(b) Table 2: summary statistics

6.3 Table 3: Access determinants and Table 4: CARs around visits

Read: Table 3 shows that Obama contributions, lobbying, procurement exposure, and firm size predict access. Table 4 shows positive CARs around visits, especially for close firms.

Detailed interpretation. Firms seek access when political exposure is high, and markets value that access.

Economic message. Access is both selected and priced.

Table 3

Characteristics of firms with political access.

This table presents regression analysis of the characteristics of firms with political access. The first two columns estimate OLS regressions with the logarithm of one plus the number of White House visits by corporate executives as the dependent variable, and the last two columns estimate probit regressions with an indicator for political access as the dependent variable. The political access indicator takes the value of one if the executives of the firm visit the White House at least once in a given year and zero otherwise. All regressions include year fixed effects and industry fixed effects. Numbers in parentheses are *t*-statistics based on standard errors clustered by firm. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

Dependent variable =	OLS		Probit	
	Log(1 + # of White House visits)		Political access indicator	
	(1)	(2)	(3)	(4)
Log (1 + Contributions to Obama)	0.003 (2.17)**	0.003 (1.72)*	0.003 (3.31)***	0.002 (3.11)***
Log (1 + Contributions to opponent)	-0.001 (0.71)	-0.000 (0.08)	-0.001 (1.02)	-0.001 (0.76)
Log (1 + PAC contributions to Dem)	0.008 (2.26)**	0.006 (1.97)**	0.003 (1.63)	0.003 (1.59)
Log (1 + PAC contributions to GOP)	-0.004 (1.25)	-0.003 (0.96)	-0.002 (1.34)	-0.002 (1.26)
Log (1 + Lobbying expenses)	0.005 (4.28)***	0.005 (3.91)***	0.004 (6.39)***	0.004 (6.36)***
Log (1 + Procurement contracts)	0.020 (3.06)***	0.017 (2.73)***	0.001 (0.96)	0.001 (0.77)
Sin stocks	0.037 (0.74)	0.008 (0.14)	0.034 (0.78)	0.028 (0.66)
Log (Firm size)	0.052 (8.36)***	0.054 (5.85)***	0.028 (10.60)***	0.029 (6.09)***
Market-to-book	0.000 (0.71)	0.000 (0.67)	-0.000 (0.09)	-0.000 (0.23)
Prior stock return		0.023 (3.10)***	0.019 (3.16)***	0.023 (3.16)***
Tangible		-0.018 (0.52)	-0.013 (0.71)	-0.013 (0.71)
ROA		-0.118 (3.66)***	-0.007 (0.24)	-0.007 (0.24)
Book leverage		-0.044 (1.80)*	-0.002 (0.17)	-0.002 (0.17)
# of employees		-0.015 (2.17)**	-0.005 (1.26)	-0.005 (1.26)
Market share		2.424 (3.19)***	0.418 (1.92)*	0.418 (1.92)*
(Market share) ²		-4.909 (1.56)	-1.076 (1.48)	-1.076 (1.48)
Herfindahl index		0.018 (0.14)	0.026 (0.48)	0.026 (0.48)
Number of observations	12,415	12,415	12,170	12,170
Adj./Pseudo R-squared	0.16	0.17	0.22	0.22

(a) Table 3: access determinants

Table 4

Cumulative abnormal returns around corporate executives' White House visits.

This table presents cumulative abnormal returns around corporate executives' visits to the White House. We consider three different windows surrounding the date of the visit (day 0), i.e., [-1, +5], [-1, +10], and [-1, +15]. Abnormal returns are calculated as the return in excess of CRSP value-weighted market returns. *Close firms* are those that contributed more to the presidential campaign of Obama than that of his opponent. *Nonclose firms* are otherwise. Numbers in parentheses are *t*-statistics based on standard errors clustered by firm. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

	# of obs.	[-1, +5]	[-1, +10]	[-1, +15]
All visits	2,401	0.236% (2.26)**	0.375% (2.92)***	0.392% (2.51)***
<i>Partition by visiting firms</i>				
Close firms	1,011	0.315% (2.00)**	0.512% (2.50)**	0.513% (2.10)**
Nonclose firms	1,390	0.179% (1.27)	0.274% (1.64)	0.304% (1.45)

(b) Table 4: CARs around visits

6.4 Table 5: Log-release CARs and Table 6: Robustness

Read: Table 5 shows positive CARs around visitor-log releases, driven by visits not previously mentioned in the news. Table 6 shows robustness across alternative event samples and return benchmarks.

Detailed interpretation. Release-date reactions show that new public information about access matters.

Economic message. The access effect is robust and not merely a benchmark artifact.

Table 5

Cumulative abnormal returns around the release date of visitor logs.

This table presents cumulative abnormal returns around the release date of visitor logs. We consider three different windows surrounding the release date (day 0), i.e., [-1, +5], [-1, +10], and [-1, +15]. Abnormal returns are calculated as the return in excess of CRSP value-weighted market returns. The lower panel splits the visits into those that were previously mentioned in the news and those that were not mentioned. Numbers in parentheses are *t*-statistics based on standard errors clustered by firm. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

	# of obs.	[-1, +5]	[-1, +10]	[-1, +15]
All visits	2,188	0.136% (1.15)	0.258% (1.95)*	0.258% (1.73)*
<i>Partition by prior news coverage</i>				
Previously mentioned in the news	227	-0.184% (0.70)	-0.160% (0.49)	-0.465% (1.19)
Not mentioned	1,961	0.173% (1.34)	0.306% (2.10)**	0.342% (2.11)**

(a) Table 5: log-release CARs

Table 6

Robustness checks.

This table reports robustness checks of the cumulative abnormal returns around corporate executives' visits to the White House. Panel A excludes visits that are associated with advisory board meetings. Panel B excludes visits that are within 12 months of the previous visits. Panels C, D, and E use alternative risk benchmarks to adjust returns, including industry-adjusted stock returns (following Moskowitz and Grubblatt, 1999), the Fama-French-Carhart four-factor model, and DGTW characteristics benchmarks. Numbers in parentheses are *t*-statistics based on standard errors clustered by firm. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

	# of obs.	[-1, +5]	[-1, +10]	[-1, +15]
Panel A: Excl. advisory board meetings	2,305	0.286% (2.71)***	0.389% (3.04)***	0.425% (2.73)***
Panel B: Excl. follow-up visits	1,058	0.313% (1.91)*	0.558% (2.70)**	0.545% (2.27)*
Panel C: Industry-adjusted returns	2,401	0.231% (2.34)**	0.325% (2.84)***	0.358% (2.47)**
Panel D: FFC-adjusted returns	2,396	0.209% (2.01)**	0.197% (1.57)	0.327% (2.17)**
Panel E: DGTW characteristics-adj. returns	2,120	0.244% (2.40)**	0.362% (3.02)***	0.360% (2.43)**

(b) Table 6: robustness

6.5 Table 7: Stock market reactions to presidential election

Read: Table 7 shows negative stock market reactions for Obama-access firms around the 2016 Trump election, especially for close firms.

Detailed interpretation. Access is politically contingent rather than a stable firm-quality proxy.

Economic message. Political access loses value when political control changes.

Table 7

Stock market reactions to the 2016 presidential election.

This table presents regression analysis of the stock market reaction to the election of Donald J. Trump as the president of the US on November 8, 2016. The dependent variable is the three-day cumulative abnormal return immediately following the release of the election result (i.e., from November 9 to November 11, 2016). Abnormal returns are calculated as the return in excess of CRSP value-weighted market returns. Panel A examines the relation between the CAR and political access variables, and Panel B examines how the relation varies with the strength of the connection between the president and the visiting firm. Political access is an indicator that takes the value of one if the executives of the firm visit the White House at least once during the Obama administration and zero otherwise. Number of visits is the number of visits to the White House by the firm's executives during our sample period. Stock price run-up is the cumulative abnormal return during the 40-day window immediately before the election. Cash effective tax rate is cash taxes paid as a fraction of current year pretax income, adjusted for special items. Foreign operation is foreign pretax income as a fraction of total pretax income. Close firm is an indicator that equals one if the firm contributed more to the presidential campaign of Obama than that of his opponent. We aggregate the dollar value of campaign contributions, lobbying expenses, and procurement contracts during the sample year from 2009 through 2015. See Table 2 for the definition of other variables. All regressions include industry fixed effects. Numbers in parentheses are t-statistics based on standard errors clustered by industry. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

Panel A: Relation between CAR and political access variables				
Dependent variable =	Three-day CAR			
	(1)	(2)	(3)	(4)
Political access	-0.013 (2.85)***	-0.007 (1.98)*		
Log (1 + # of visits)			-0.011 (3.71)***	-0.007 (2.52)**
Log (1 + Contributions to Obama)		-0.001 (3.20)***		-0.001 (3.09)***
Log (1 + Contributions to opponent)		0.000 (1.21)		0.000 (1.16)
Log (1 + PAC contributions to Dem)		-0.001 (0.82)		-0.001 (0.74)
Log (1 + PAC contributions to GOP)		0.000 (0.32)		0.000 (0.30)
Log (1 + Lobbying expenses)		-0.000 (0.99)		-0.000 (0.90)
Log (1 + Procurement contracts)		0.003 (2.74)***		0.003 (2.83)***
Stock price run-up		-0.065 (3.53)***		-0.065 (3.53)***
Sin stocks		0.010 (0.51)		0.009 (0.46)
Log (Firm size)		0.004 (0.12)		0.004 (0.15)
Market-to-book		-0.064 (1.82)*		-0.064 (1.89)*
Tangible		-0.002 (0.91)		-0.003 (0.99)
ROA		-0.006 (2.54)**		-0.006 (2.52)**
Book leverage		0.000 (0.04)		-0.000 (0.04)
# of employees		-0.001 (0.46)		-0.001 (0.50)
Market share		-0.504 (4.35)***		-0.487 (4.31)***
(Market share) ²		0.679 (3.74)***		0.663 (3.63)***
Herfindahl index		0.091 (1.85)*		0.087 (1.77)*
Cash effective tax rate		0.027 (3.06)***		0.027 (3.15)***
Foreign operation		-0.023 (2.97)***		-0.023 (2.98)***
Number of observations	2,977	1,926	2,977	1,926
Adj. R-squared	0.12	0.24	0.13	0.24

(a) Panel A

Table 7
(continued)

Panel B: Cross-sectional relation between CAR and political access variables				
Dependent variable =	Three-day CAR			
	(1)	(2)	(3)	(4)
Political access * Close firm	-0.016 (2.59)**	-0.016 (1.99)*		
Political access		-0.007 (1.27)		
Log (1 + # of visits) * Close firm			-0.010 (2.51)**	-0.011 (2.33)**
Log (1 + # of visits)			-0.007 (1.84)*	-0.003 (0.96)
Close firm	-0.001 (0.29)	0.011 (1.79)*	-0.001 (0.34)	0.010 (1.77)*
Control variables	No	Yes	No	Yes
Number of observations	2,977	1,926	2,977	1,926
Adj. R-squared	0.12	0.24	0.13	0.24

(b) Panel B

6.6 Table 8: procurement contracts and Table 9: regulatory news

Read: Table 8 shows increases in procurement contracts after visits. Table 9 shows increases in net positive regulatory news after visits.

Detailed interpretation. These real outcomes support the mechanism behind the stock-market effects.

Economic message. Access generates government-related benefits through procurement and regulation.

Table 8

White House visits and the allocation of government procurement contracts.

This table compares the change in government procurement contracts for firms whose executives visit the White House (treatment firms) with that for matched firms using a propensity score matching procedure (control firms). We measure the change in procurement contracts as the total dollar value of procurement contracts awarded during the 12 months immediately following a White House visit scaled by sales minus that during the 12 months immediately before the visit scaled by sales, in percentage points. Panel A reports the change in procurement contracts for the full sample as well as for subsamples of close and nonclose firms. *Close firms* are those that contributed more to the presidential campaign of Obama than that of his opponent. *Nonclose firms* are otherwise. Panel B reports the difference in the change in procurement contracts by type between treatment and control firms. We partition contracts in two ways: whether the contract is awarded under full and open competition and whether it is performance based. Numbers in parentheses are *t*-statistics based on standard errors clustered by firm. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

Panel A: Change in all procurement contracts			
	Treatment (1)	Control (2)	Difference (3)
Full sample	0.299 (1.66)*	-0.158 (1.35)	0.457 (2.16)**
<i>Partition by visiting firms</i>			
Close firms	0.423 (1.28)	-0.283 (1.25)	0.706 (1.80)*
Nonclose firms	0.180 (1.09)	-0.038 (0.65)	0.218 (1.25)
Panel B: Breakdown of the change in procurement contracts by type			
	Performance based	Nonperformance based	
Competitive	0.103 (1.77)*	0.068 (1.12)	
Noncompetitive	0.021 (0.93)	0.264 (1.74)*	

(a) Table 8: procurement contracts

Table 9

White House visits and regulatory news.

This table compares the change in the number of net positive (positive minus negative) regulatory news regulatory news for firms whose executives visit the White House (treatment firms) with that for matched firms using a propensity score matching procedure (control firms) after the visits. We use the word list compiled by Loughran and McDonald (2011) to categorize words as either positive or negative. We classify a regulatory news article as positive (negative) if the difference between the proportion of positive words in the news and that of negative words is in the top (bottom) tercile. We report the average number of net positive regulatory news articles during the 12 months immediately following a White House visit minus that during the 12 months immediately before the visit, in percentages for treatment and control firms using the full sample as well as using subsamples of close and nonclose firms. *Close firms* are those that contributed more to the presidential campaign of Obama than that of his opponent. *Nonclose firms* are otherwise. Numbers in parentheses are *t*-statistics based on standard errors clustered by firm. Significance at the 10% (*), 5% (**), or 1% level (***) is indicated.

	Treatment (1)	Control (2)	Difference (3)
Full sample	1.019 (1.18)	-2.500 (1.98)**	3.519 (2.27)**
<i>Partition by visiting firms</i>			
Close firms	1.714 (1.18)	-2.377 (1.84)*	4.091 (2.02)**
Nonclose firms	0.795 (0.77)	-2.546 (1.54)	3.341 (1.73)*

(b) Table 9: regulatory news

7 Detailed result map

- Access is predicted by political spending, lobbying, procurement exposure, and size.
- Visits and log releases generate positive abnormal returns.
- Access loses value after a political transition.
- Access predicts more procurement contracts and more favorable regulatory news.

8 Conclusion

8.1 Core conclusion

Direct political access to high-level officials is valuable to firms.

8.2 Economic intuition

Access helps firms communicate with policymakers, acquire information, obtain procurement opportunities, and receive regulatory relief.

8.3 Incremental contribution revisited

The paper moves from indirect proxies for political connections to direct, time-stamped access data and connects access to both market value and real outcomes.

8.4 Limitations

Visits are not randomized, and logs do not record all access channels or meeting content.

8.5 Takeaway

Political access is a scarce, priced, politically contingent corporate asset.